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China Mengniu Dairy | Asia Pacific

Sustaining Positive Sales Trend

We hosted an investor group call with the company. YTD sales appear to be well on track with the full-year target, which was maintained. We remain OW on the stock.

Key Takeaways

- Mengniu saw ~high single digit sales growth in 5M26. It expects mid-high to high single digit sales growth for 1H26 if June sales is on track.
- UHT milk recovered to positive growth YTD, and other key segments maintained strong growth momentum.
- Raw milk prices are stable on a MoM basis, leading to more rational competition.
- 2026 target unchanged: mid-single digit top-line growth in 2026, with liquid milk recording low single digit growth. OPM is seen flat yoy.
- Mengniu expects steady improvement in the dividend payment amount on healthy cash flow generation and lower capex going forward.

UHT milk:

- Positive growth in 2Q26, despite a slower pace vs. 1Q, primarily due to positive support from the CNY effect in 1Q yoy. Growth is seen mainly driven by volume, with relatively weak like-for-like pricing yoy on a higher base in 1H25 (2H25 had more promotions).
- Better mix trends, with Milk Deluxe outperforming basic UHT milk.
- Yogurt and milk beverage performances are stabilizing, and are seen flat or down slightly in 1H26.

Fresh milk:

- Mengniu sees growth acceleration to 25-30% in 1H26. It targets double digit sales growth for 2026.
- OPM is still low at the current stage, but could improve toward the group level when it scales up in the next 3-5 years.

Milk powder:

- Overall milk powder segment is expected to achieve over 30% growth in 1H26.
- Bellamy's has shown strong growth in cross-border sales to China with continued Southeast Asia market penetration. Domestic brands have solid growth.
- Adult powder is growing faster than infant powder; quality and functional needs are the future focuses.

Potential tax adjustment for the industry: continued in next section.

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China Mengniu Dairy (2319.HK, 2319 HK)

China/Hong Kong Consumer | China

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$20.00
Up/downside to price target (%)	14
Shr price, close (Jul 8, 2026)	HK\$17.60
52-Week Range	HK\$18.07-13.88
Sh out, dil, curr (mn)	3,879
Mkt cap, curr (mn)	US\$8,704
EV, curr (mn)	US\$4,983
Avg daily trading value (mn)	US\$48

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.40	1.23	1.38	1.51
EPS (Rmb)§	0.91	1.30	1.43	1.58
Revenue, net (Rmb mn)	82,245	86,795	90,398	94,258
EBITDA (Rmb mn)	5,344	7,785	9,199	9,920
ModelWare net inc (Rmb mn)	1,545	4,784	5,376	5,910
P/E	33.8	12.4	11.1	10.1
P/BV	1.3	1.4	1.3	1.2
RNOA (%)	8.4	27.7	28.9	31.6
ROE (%)	3.7	11.8	12.4	12.7
EV/EBITDA	5.0	4.2	3.3	2.7
Div yld (%)	3.8	3.4	3.9	4.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Continued...

Potential tax adjustment for the industry: The specific impact is still unclear, depending on implementation of the tax definition on some 'fresh milk' shifting from 'primarily processed agricultural product' (0% or 9% VAT, 0% income tax) to 'deeply processed agricultural product' (13% VAT, 15% or 25% statutory income tax). Mengniu said it would follow regulatory requirements if there is a change for the industry.

Our take on the potential tax impact: This is currently difficult to quantify without clear regulatory guidance yet and given the complexity in actual tax consideration (including other regional tax benefits that Mengniu enjoys). Fresh milk accounts for ~ mid-single digit % of Mengniu's total sales and a smaller portion in profit. If the tax change is mainly on fresh milk, it could be relatively much less significant for Mengniu than for regional players who have higher portions of revenue from fresh milk. The tax change should not affect its operations, competitiveness and long-term strategy, in our view.

Valuation Methodology and Risks

China Mengniu Dairy (2319.HK)

Base case, discounted cash flow methodology. Key assumptions: 12% WACC and 2% terminal growth rate.

Risks to Upside

- Faster-than-expected market share gain.
- Better margin expansion from cost savings.

Risks to Downside

- Slower turnaround for Modern Dairy amid unfavorable industry conditions.
- Stronger competition in the liquid milk industry.
- Slower-than-expected pace of optimizing channel structure and rising spending for achieving long-term targets.

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(as of June 30, 2026)

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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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Stock Price, Price Target and Rating History (See Rating Definitions)

China Mengniu Dairy (2319.HK) - As of 07/04/26 GMT in HKD
Industry : China/Hong Kong Consumer



Stock Rating History: 7/1/21 : 0/I

Price Target History: 2/11/21 : 56; 4/1/22 : 55; 7/27/22 : 50; 8/26/22 : 48; 3/4/23 : 45; 3/31/23 : 43; 9/29/23 : 40; 12/15/23 : 35; 2/20/24 : 30; 4/8/24 : 26; 8/26/24 : 16; 11/1/24 : 20; 4/22/25 : 22.5; 6/23/25 : 20; 10/15/25 : 18.5; 2/27/26 : 19; 3/26/26 : 20

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

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INDUSTRY COVERAGE: China/Hong Kong Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/08/2026)
Dustin Wei		
ANTA Sports Products (2020.HK)	++	HK\$72.75
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$4.70
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.04
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb20.26
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$25.98
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$14.66
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$22.96
Li Ning (2331.HK)	O (10/09/2019)	HK\$14.87
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$56.65
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$154.90
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb57.92
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$13.58
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb18.02
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.07
Topsports International Holdings Ltd (6110.HK)	O (11/13/2019)	HK\$1.83
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$7.36
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.01
Hildy Ling		
Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb37.09
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb96.19
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$48.00
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb51.53
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$11.59
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb12.05
Ecovacs Robotics Co Ltd (603486.SS)	E (10/30/2023)	Rmb50.13
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb34.10

Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK\$30.04
Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$11.13
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb15.04
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$405.60
Super Hi (HDL.O)	E (01/14/2025)	US\$12.34
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb43.93
Lillian Lou		
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb77.11
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$6.17
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$11.09
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$17.60
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$22.44
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb41.92
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb127.81
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$114.50
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	O (04/14/2020)	Rmb38.54
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb20.29
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$20.32
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,199.30
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb76.41
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$88.15
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb79.41
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$31.06
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb36.80
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$40.76
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb107.64
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb23.10
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$11.22
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$44.10
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb53.31
Uni-President China (0220.HK)	E (07/25/2025)	HK\$7.46
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$3.42
WH Group (0288.HK)	O (02/24/2025)	HK\$7.84
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb71.48
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb38.21
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb11.07
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb25.22
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$42.22
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$7.42
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$19.25
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$5.91
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb37.74
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb32.67
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb30.77
Shenzhen International Group Holdings (2313.HK)	O (07/13/2017)	HK\$43.08
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$12.52
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$126.10
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$12.78

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* Historical prices are not split adjusted.